26 Here is information about two savings accounts.

Savemore	**Highbrook**
Compound interest	Compound interest
1.25% each year	2.1% for the first year 0.95% for each extra year

Abi is going to invest £5000 in one of these savings accounts for 3 years.

She wants to have as much money as possible in the account at the end of 3 years.

(a) Which savings account should Abi choose?
You must show all your working.

(4)

Before Abi decides which savings account to choose, the rate of interest for the Savemore account is changed to 1.15% each year.

(b) Does this affect which savings account Abi should choose?
You must give a reason for your answer.

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(1)

(Total for Question 26 is 5 marks)